HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 52 WEEKS ENDED 25 DECEMBER 2010

REGISTERED NUMBER : 526923

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HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 52 weeks ended 25 December 2010 *(2009 52 weeks ended 26 December 2009)*

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

Howden Joinery Limited ('the Company") is a wholly owned subsidiary of Howden Joinery Group Plc ('the Group"), and operates as part of the Group's Trade and Supply divisions The Supply Division designs, and either sources or manufactures, kitchens and joinery products, which the Trade Division then sells to the building trade, predominantly small local builders, via a nationwide network of depots

As shown in the Company's profit and loss account, sales are £797m for the period *(2009 £760m)* The profit on ordinary activities before taxation is £104m *(2009 £83m after exceptional items)* and profit for the financial period is £76m *(2009 £61m)* The directors do not recommend payment of a dividend *(2009 £nil)*

The balance sheet shows the Company's financial position at the end of the year Details of amounts owed to and from the parent and other group companies are shown in notes 10 and 11

Last year, the Company successfully delivered over 400,000 kitchens, via a network of nearly 500 depots across the country, to the small builders who installed them in homes in their local area 27 new depots were opened, with all depots being locally managed and responsible for growing their own business through trade accounts By the end of the year, the business had over 200,000 credit accounts, growing the account base by over 20,000 accounts during the course of the year

Since the business started in 1995, the business has remained totally focussed on providing what the small builder wants, which is a constant supply of product that is well designed, easy to sell, attractive, good quality, robust, relevant, available from stock when required, on credit terms, and at attractive prices that allow the builder to run a profitable business

The business has worked very hard to get the offer right, and the product is continually being improved Range content is now standardised, which allows the designer to mix and match colours, finishes, cornices and accessories, knowing everything will fit, which obviously makes selection easier for the end user to whom the builder is selling the kitchen With the end-user potentially being an owner-occupier, a private landlord, a small developer, a council or a housing association, the small builder goes where the work is and effectively he serves all parts of the market

With the scale in place today, the business leads and influences the market but the business has a responsibility to builders to help them install working kitchens successfully and profitably Every part of Howdens' business and every person working in Howdens is geared towards that idea

That means that the business must have a seamless operation, from sourcing of consistent raw materials through to low cost manufacturing and efficient distribution, ensuring constant availability so that it can provide the best possible service and value, day in, day out, in all its depots

FINANCE RISKS AND OTHER PRINCIPAL RISKS AND UNCERTAINTIES

The future success of the Company business depends on maintaining the culture and business model as the Company grows The Company needs to preserve the decentralised business model which allows depot managers to flex their requirements to suit the needs of their customers, and increases the entrepreneurship which is part of the Howden Joinery culture

The Company is financed by an interest-free loan from its ultimate parent company The Company has no third party debt, although as described below certain of its assets act as security on the Group's ABL facility It therefore has no interest rate exposure As such, the Company's financial risk management objectives and policies are those of the Howden Joinery Group Plc Group, which are contained in the Group's Annual Report, which does not form part of this Report

The Company's principal financial assets are bank balances, cash, and debtors The Company's credit risk is mainly confined to the risk of customers defaulting on sales invoices raised A policy of only dealing with creditworthy counterparties as a way of mitigating the risk of financial loss from defaults has been adopted Howden Joinery does not have any significant credit risk exposure to any single counterparty, since debtors consist of a large number of customers, with ongoing credit evaluation performed on the financial conditions of accounts receivable

The Company has no other significant risks and uncertainties, other than those risks that it shares with the Group The Group's risks are discussed in the Group's Annual Report, which does not form part of this Report

GOING CONCERN

The current economic conditions create uncertainty particularly over (a) the level of demand for the Company's products and (b) the exchange rate between sterling and both the Euro and the US Dollar which would impact the cost of the Company's operations

The Company's forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance The results of this testing show that the Company should be able to operate for the foreseeable future

The Company's trade receivables and inventory balances act as security on the Group's asset-backed bank facility The security on these assets could be called upon if the Group were to breach its borrowing facility or covenants In addition the pension trustees have a charge on the shares of the Company and have a separate covenant test on the EBITDA for Howden Joinery This charge could be called upon if there were to be a breach of this covenant

The Group's latest forecasts and projections have been stress-tested for reasonably possible adverse variations in trading performance and show the Group should be able to operate within the terms of its current borrowing facility and covenants for the foreseeable future On this basis the directors of the Company believe that the security on the facility could not be called upon

After making enquiries, the directors have a reasonable expectation that the company has adequate resources to continue in operational existence for the foreseeable future Accordingly, they continue to adopt the going concern basis in preparing the accounts

SOCIAL AND EMPLOYEE ISSUES

The Company directly employs over 6,100 people and sells more kitchens than any other company in the UK Each year, customers, principally small builders, are supplied with around 3 6 million kitchen cabinets, 2 million doors and 400,000 complete kitchens

This market leading position means the Company has responsibilities that it must reconcile with the pursuit of its commercial interests

Committed to responsible manufacturing in the UK

There are two manufacturing facilities in the UK one in Runcorn and one in Howden Manufacturing at scale in the UK benefits both the domestic workforce and the communities in which they live and work.

Committed to managing impact on the environment

Wood
Manufactured product
As a supplier of kitchen and joinery products, wood obviously plays a central role in what the Company does It is therefore policy to always try and source wood in a way that is good for the environment as well as good for the business The preferred option is to buy wood which is certified by either the UK FSC or by the European Programme for the Endorsement of Forest Certification (PEFC) These respected, independent schemes enable the Company to source wood and paper products from suppliers that use sustainable methods to manage their forests

The Company also aims to source all cardboard packaging from either recycled or certified sources All the Company's UK manufactured kitchen ranges are certified by the UK Forest Stewardship Council (UK FSC) Over 99% of all UK ih-house manufactured product is now FSC compliant (2009 96%)

Bought-in product
As well as manufacturing much of the product in the UK, the Company continues to source joinery products and kitchen frontals from a range of suppliers in the UK, Europe and elsewhere in the world

Ethical and environmental sourcing is an important factor in the Company's international supply chain, and the Company expects all suppliers to exercise high standards in this area Suppliers of wood based kitchen and joinery products should either already have or be working toward FSC/PEFC certification wherever possible Regular audits and continuous improvement programmes have become an integral part of supplier selection and development and the Company continues to audit a sample of suppliers on an annual basis to verify their compliance with the Company's requirements

Energy
This year efforts to reduce energy across the business were recognised through the successful accreditation under the Carbon Trust Standard which certifies organisations for real carbon reduction as well as their continued commitment to ongoing reduction The business has had accreditation for over 10 years under the standard's predecessor the Energy Efficiency Accreditation Scheme

Within manufacturing, distribution and the business's warehouse related sites, the ISO14001 accreditation was retained during the year

With regard to the truck fleet, the Company continues to operate a fleet of 106 trucks This fleet remains considerably smaller than it was three years ago as the business continues to work with haulier partners through traffic sharing arrangements and maximise the use of backhaul capacity All of trucks remain Euro 5 compliant

The replacement of the existing car fleet with more eco-friendly vehicles has continued as planned

A project to install SMART meters across the entire depot network commenced this year which will allow more accurate and proactive monitoring of energy usage in this division

Demanding KPIs have been set in respect of the Company's products including improving the efficiencies of the Company's bestselling electric ovens by reducing the kilowatt consumption per hour by 5% or more over the next 3 years Excellent progress has been made with energy consumption in our own brand "Lamona" appliances already reduced by 10% overall and by 5% for the best selling ranges

Waste
In 2010, manufacturing operations continued to perform well in the area of waste management Of the 44,800 tonnes of waste produced, 98 1% was recycled compared to just over 95% in 2009

The two key areas where efforts have been specifically concentrated to measure and reduce energy consumption are at the manufacturing sites and across the Company's fleet of trucks Howden Joinery is also working to increase the number of energy efficient products which are supplied to customers

Committed to supporting the workforce to acquire and practise core skills

Employee responsibilities

The Company takes its responsibilities as an employer very seriously and aims to provide a positive work environment for all staff, whether working in factories, warehouses, depots or offices The Company's culture emphasises the importance of individual accountability, which means the personal responsibility towards everyone engaged in Company business This culture is reinforced by commitment to certain core principles

- Recognising by reward the hard work of all employees
- Investing in training and development across the business
- Ensuring that recruitment, career success and progression are solely determined by an employee's abilities and achievements

Howden Joinery's heritage and culture means a high value is placed on a whole range of skills practised by local trades' people technical, commercial and interpersonal The business is keen to promote the use of these skills in the workplace and interest in them in the wider community As a result the business promotes the use of apprenticeships within the workplace While in the wider community, the Company continues to build relationships with local further education colleges which offer courses in construction skills, and is working with Construction Skills, the Sector Skills Council and Industry Training Board for the construction industry, to put in place a bursary scheme for new apprentice joiners

Applications for employment by disabled persons are always fully considered, bearing in mind the aptitudes of the applicant concerned In the event of members of staff becoming disabled every effort is made to ensure that their employment with the company continues and that appropriate training is arranged It is the policy of the Company that the training, career development, and promotion of disabled persons should, as far as possible, be identical with that of other employees

Howden Joinery participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings and employee representatives are consulted regularly on a wide range of matters affecting their interests

Details of the number of employees and related costs can be found in note 3 to the financial statements

Health & Safety

The managers and directors in the operating divisions are personally responsible and accountable for the health & safety of their employees The health & safety requirements of these two divisions necessarily differ somewhat and as such, each of the operating divisions reviews its own strategy, issues and performance on a regular basis

As it is the policy to drive all elements of the business at a local level, depot managers are responsible for the health and safety of the staff their depots To help them in this task, they participate in the Health and Safety Management Training programme which provides training on a three year basis for all depot managers A defensive driving course continues to be run for those staff in the depots that are required to drive as part of their day to day role

All manufacturing, warehouse and distribution sites remain certified to OHSAS 18001, while staff are continually encouraged to gain externally accredited health & safety qualifications (IOSH, NEBOSH and CIEH), as well as training operatives in the requirement of OHSAS

Across the Company, there were no improvement or prohibition notices served on us during the year by the Health & Safety Executive (HSE), nor were there any prosecutions by the HSE or the Environment Agency

Committed to playing an active part in local communities

Each depot, manufacturing site and distribution centre fulfils an important role in the life of the area it serves, and all staff are encouraged to make a contribution to the local community

This year, the Company donated £753,000 (2009 £583,000) to local good causes As well as cash donations and employee fund raising initiatives, the Company donated joinery and kitchen equipment to local schools, village halls, care homes, local youth groups and sports clubs

Leonard Cheshire Disability is a key community partner for the Company, and mindful of their reliance on volunteer support, in 2009 the Company increased its contributions to their volunteer recruitment and training programme, while staff continue to find ways to fundraise for Leonard Cheshire

The Company's inclusive kitchen research with Leonard Cheshire, inspired by working with their residents, helps the business to offer relevant, affordable kitchen solutions to customers, regardless of their ability The Company's multi-ability kitchen solutions, available from stock, work particularly well for local authorities and housing associations, who have to meet minimum criteria for the housing of disabled residents, frequently without knowing for whom they are providing facilities before they are installed

The Company is proud of the fact that staff, customers and all stakeholders take such an active part in giving something back to their local communities In celebration of their generosity, the Company continues to publish a

series of "Truly Local" books, detailing only a fraction of the good work carried out by staff and customers and their families as part of their daily lives within their local communities

DIRECTORS

The directors of the Company who served throughout the period were

M Ingle
C Youell
M Robson
R Fenwick
D Hallett
A Witts
C Bishop

No director held any beneficial interest in the shares of the Company at any time during the period

SUPPLIER PAYMENT POLICY

It is the Company's policy on payment of suppliers to agree terms of payment prior to commencing trade, and to abide by those terms on a timely submission of satisfactory invoices The number of days purchases outstanding for payment by the Company at the year end was 30 days *(2009 26 days)*

POLITICAL AND CHARITABLE CONTRIBUTIONS

The Company made charitable donations during the period amounting to £753,000 *(2009 £ 583,000)* The Company made no political donations during the current or previous period

AUDITORS

Each of the persons who is a director at the date of approval of this annual report confirms that

- so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- the director has taken all the steps he ought to have taken as a director in order to make himself aware of any relevant audit information and to establish that the Company's auditors are aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

Deloitte LLP has indicated their willingness to be reappointed for another term and appropriate arrangements have been put in place for them to be reappointed as auditors in the absence of an Annual General Meeting

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

HOWDEN JOINERY LIMITED
DIRECTORS' REPORT (Cont'd)

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgments and accounting estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed,
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

By Order of the Board

C Youell
Director
6 April 2011

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the 52 weeks ended 25 December 2010 which comprise the Profit and Loss Account, the Balance Sheet and the related notes 1 to 20 The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditor

As explained more fully in the Directors' Responsibilities Statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland) Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

Scope of the audit of the financial statements

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements

Opinion on financial statements

In our opinion the financial statements

- give a true and fair view of the state of the company's affairs as at 25 December 2010 and of its profit for the 52 weeks then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

John Adam (Senior statutory auditor)
for and on behalf of Deloitte LLP
Chartered Accountants and Statutory Auditors
London, United Kingdom
6 April 2011

HOWDEN JOINERY LIMITED
PROFIT AND LOSS ACCOUNT
FOR THE 52 WEEKS ENDED 25 DECEMBER 2010

	Note	52 weeks to 25 Dec 2010 Total £000	52 weeks to 26 Dec 2009 Before Exceptional items £000	Exceptional items (note 5) £000	Total £000
Turnover					
Continuing operations	1	**797,439**	759,718	-	759,718
		797,439	759,718	-	759,718
Cost of sales					
Continuing operations	1	**(341,698)**	(335,336)	-	(335,336)
		(341,698)	(335,336)	-	(335,336)
Gross profit		**455,741**	424,382	-	424,382
Selling and administrative costs					
Continuing operations	1	**(351,786)**	(348,129)	298	(347,831)
Discontinued operations	5	-	-	6,682	6,682
		(351,786)	(348,129)	6,980	(341,149)
Operating profit - continuing operations		**103,955**	76,253	298	76,551
Operating profit - discontinued operations		-	-	6,682	6,682
Operating profit		**103,955**	76,253	6,980	83,233
Loss on disposal	5	**(22)**	-	(241)	(241)
Interest payable		**(52)**	(51)	-	(51)
Profit on ordinary activities before taxation	2	**103,881**	76,202	6,739	82,941
Tax on profit on ordinary activities	6	**(28,095)**	(21,878)	(335)	(22,213)
Profit for the financial period		**75,786**	54,324	6,404	60,728
Amount transferred to reserves		**75,786**	54,324	6,404	60,728

There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account, accordingly no statement of total recognised gains and losses has been presented There are no exceptional items in the current period hence only one column has been presented

HOWDEN JOINERY LIMITED
BALANCE SHEET AT 25 DECEMBER 2010

	NOTES	25 Dec 2010 £000	25 Dec 2010 £000	26 Dec 2009 £000	26 Dec 2009 £000
Fixed assets					
Tangible assets	7	**50,551**		52,351	
Investments	8	**2,000**		2,000	
			52,551		54,351
Current assets					
Stocks	9	**103,502**		83,898	
Debtors	10	**727,489**		563,560	
Cash at bank and in hand		**11,191**		8,278	
		842,182		655,736	
Creditors amounts due within one year	11	**(664,092)**		(555,312)	
Net current assets			**178,090**		100,424
Total assets less current liabilities			**230,641**		154,775
Creditors : amounts falling due after more than one year					
Finance lease creditor	11		-		(396)
Provisions	12		**(1,604)**		(1,927)
Net assets			**229,037**		152,452
Capital and reserves					
Called up share capital	14		**100,000**		100,000
Profit and loss account	15		**124,709**		48,923
Share-based payments reserve	15		**4,328**		3,529
Shareholders' funds	15		**229,037**		152,452

Approved by the Board of Directors and signed on their behalf by

C Youell
Director
6 April 2011

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding period

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom accounting standards The financial statements have been prepared on a going concern basis as discussed in the Directors' Report

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Howden Joinery Group Plc

The financial statements include the undertakings for the 52 week period ended 25 December 2010 The comparative period covers the 52 weeks ended 26 December 2009

The Company is exempt from the requirement to prepare Group financial statements under s400 of the Companies Act 2006 since its results are included in the consolidated financial statements of its ultimate parent company, Howden Joinery Group Plc Accordingly these accounts present information about the company as an individual undertaking and not its group

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax All turnover arises in the United Kingdom and is recognised on despatch of goods and services provided to customers, excluding sales taxes and discounts

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation and any provision for impairment Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value Cost includes materials, direct labour and an attributable proportion of manufacturing overheads based on normal levels of activity Net realisable value is based on estimated selling price less further costs expected to be incurred to completion and disposal Provision is made for obsolete, slow moving stock or defective items where appropriate

TAXATION

Current tax, including UK corporation tax and foreign tax, is provided at amounts expected to be paid (or recovered) using the tax rates and laws that have been enacted or substantively enacted by the balance sheet date

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events that result in an obligation to pay more tax in the future or a right to pay less tax in the future have occurred at the balance sheet date Timing differences are differences between the Group's taxable profits and its results as stated in the financial statements that arise from the inclusion of gains and losses in tax assessments in periods different from those in which they are recognised in the financial statements

A net deferred tax asset is regarded as recoverable and therefore recognised only to the extent that, on the basis of all available evidence, it can be regarded as more likely than not that there will be suitable taxable profits from which the future reversal of the underlying timing differences can be deducted

1. **ACCOUNTING POLICIES (Continued)**

TAXATION (Continued)

Deferred tax is not recognised when fixed assets are revalued unless by the balance sheet date there is a binding agreement to sell the revalued assets and the gain or loss expected to arise on sale has been recognised in the financial statements Neither is deferred tax recognised when fixed assets are sold and it is more likely than not that the taxable gain will be rolled over, being charged to tax only if and when the replacement assets are sold

Deferred tax is recognised in respect of the retained earnings of overseas subsidiaries and associates only to the extent that, at the balance sheet date, dividends have been accrued as receivable or a binding agreement to distribute past earnings in future has been entered into by the subsidiary or associate

Deferred tax is measured at the average tax rates that are expected to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date Deferred tax is measured on a non-discounted basis

LEASED ASSETS

Leases are classified as finance leases when the terms of the lease transfer substantially all the risks and rewards of ownership to the Group All other leases are classified as operating leases For property leases, the land and building elements are treated separately to determine the appropriate lease classification

Finance leases

Assets funded through finance leases are capitalised as property plant and equipment, and depreciated over their estimated useful lives or the lease term, whichever is shorter The amount capitalised is the lower of the fair value of the asset or the present value of the minimum lease payments during the lease term at the inception of the lease The resulting lease obligations are included in liabilities net of finance charges Finance costs on finance leases are charged directly to the income statement

Operating leases

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rate ruling at the date of the transaction Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rate ruling at the date Foreign exchange gains and losses are recognised in the profit and loss account

INVESTMENTS

Investments are stated at cost less any provision for impairment

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's (Howden Joinery Group Plc) group retirement benefit scheme This is a defined benefit arrangement, operating through a multi-employer defined-benefit scheme The assets and liabilities of the scheme are held separately from those of the Group The company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

1. ACCOUNTING POLICIES (Continued)

PENSIONS (Continued)

ii) Defined contribution pension schemes

The Group operates a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

SHARE-BASED PAYMENTS

The Company has adopted FRS 20 "Share-based payment" In accordance with the transitional provisions, FRS 20 has been applied to all grants of equity instruments after 7 November 2002 that were unvested as of 25 December 2005

The Company issues equity-settled share-based payments to certain employees, based on the shares of its ultimate parent company Howden Joinery Group Plc Equity-settled share-based payments are measured at fair value at the date of grant The fair value determined at the grant date of the equity-settled share based payments is expensed on a straight-line basis over the vesting period, based on the Group's estimate of shares that will eventually vest

Fair value is measured by use of either a binomial model or a Black-Scholes-based model, depending on which model most closely reflects the terms of each individual share-based payment arrangement The expected life used in the model has been adjusted, based on management's best estimate, for the effects of non-transferability, exercise restrictions, and behavioural considerations

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging

	25 Dec 2010	26 Dec 2009
	£000	£000
Depreciation	**11,814**	12,583
Impairment charge	**94**	-
Hire of plant and machinery – rentals	**10,174**	9,861
Rent payable on property	**39,961**	39,650
Loss on disposal of fixed assets	**12**	241
Foreign exchange loss	**70**	48
Fees payable to the Company's auditors for the audit of the Company's annual accounts	**120**	140

The auditors' remuneration is £120,000, for audit services and £75,000 for tax services *(2009 £140,000 for audit services and £97,000 for tax services)*

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) who worked for the Company during the period including those who were employed by a fellow Howden Joinery Group Plc Group subsidiary, Group People Services Limited, was as follows

	25 Dec 2010	26 Dec 2009
	No.	No
Manufacturing and distribution	**1,063**	972
Depots	**4,342**	3,869
Head office	**473**	508
	5,878	5,349

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS) (Continued)

The aggregate payroll costs of these persons were as follows	25 Dec 2010 £000	26 Dec 2009 £000
Wages and salaries	**150,109**	141,973
Social security costs	**14,959**	13,661
Other pension costs	**13,507**	12,156
Share-based payment (credit)/charge (note 20)	**799**	(295)
	179,374	167,495

4. REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	25 Dec 2010 £000	26 Dec 2009 £000
Directors' emoluments	**1,451**	1,288
Pension costs	**100**	83
	1,551	1,371

The aggregate emoluments of the highest paid director in the 52 weeks to 25 December 2010 were £514,000 (*2009 £469,000)* Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £23,900 (*2009 £26,900*)

5. EXCEPTIONAL ITEMS

There were no exceptional items in the year to 25 December 2010

Exceptional items in the 52 weeks to 26 December 2009 were as follows:

	Selling and Administrative costs £000	**Loss on Disposal £000**	**26 Dec 2009 Total £000**
Release of 2007 restructuring provision	298	-	298
Release of provisions relating to contractual obligations	900	-	900
Release of intercompany creditors	5,782	-	5,782
Disposal of fixed assets	-	(241)	(241)
Total exceptional credit/(charge) before tax	6,980	(241)	6,739
Tax charge / (credit) on exceptional items	(335)		(335)
Total exceptional credit/(charge) after tax	6,645	(241)	6,404

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

	25 Dec 2010 £000	26 Dec 2009 £000
UK corporation tax – current year	**28,296**	21,845
- adjustment in respect of prior periods	**(2,127)**	(130)
Total current tax	**26,169**	21,715
Deferred taxation - current year	**2,112**	(672)
- adjustment in respect of prior periods	**(186)**	1,170
Tax on profit on ordinary activities	**28,095**	22,213

Factors affecting current period corporation tax

	25 Dec 2010 £000	26 Dec 2009 £000
The current year, current taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	**26.9%**	26 3%

The current period corporation tax charge is lower *(2009 lower)* than the standard rate of corporation tax in the UK (28%) for the following reasons

	25 Dec 2010 £000	26 Dec 2009 £000
Profit on ordinary activities before taxation for the period	**103,881**	82,941
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 28% *(2009 28%)*	**29,086**	23,223
Effects of		
Expenditure not deductible for tax purposes	**291**	250
Depreciation in excess of capital allowances	**(1,328)**	(265)
Movement on short term timing differences	**160**	291
Loss on disposals of fixed assets	**6**	67
Release of intercompany creditor	**-**	(1,618)
Tax deductions on share option exercises	**(143)**	(22)
Amortisation of shares	**224**	(83)
Prior year adjustments	**(2,127)**	(130)
Current period corporation tax charge	**26,169**	21,715

7. TANGIBLE FIXED ASSETS

	Plant and machinery	Fixtures and fittings	Computer equipment	Assets under construction	Total
Cost	£000	£000	£000	£000	£000
At 26 December 2009	24,300	57,902	21,120	1,012	104,334
Additions	2,336	4,503	2,819	475	10,133
Transfers between asset categories	43	148	652	(843)	-
Disposals	(39)	(217)	(19)	(5)	(280)
At 25 December 2010	**26,640**	**62,336**	**24,572**	**639**	**114,187**
Depreciation					
At 26 December 2009	(5,671)	(35,888)	(10,424)	-	(51,982)
Charge for the period	(3,411)	(5,252)	(3,149)	-	(11,812)
Impairment charge	-	-	(94)		(94)
Disposals	23	216	13	-	252
At 25 December 2010	**(9,059)**	**(40,924)**	**(13,654)**	**-**	**(63,636)**
Net book value					
At 26 December 2009	18,629	22,014	10,696	1,012	52,351
At 25 December 2010	17,581	21,412	10,918	639	50,551

Analysis of assets held under finance leases	**25 December 2010**	26 December 2009
	Plant, machinery & vehicles	Plant, machinery & vehicles
	£000	£000
Cost	**1,343**	1,106
Accumulated depreciation	**(666)**	-
Net book value	**677**	1,106

8. INVESTMENTS

	Other unlisted investment	TOTAL
Cost	£'000	£'000
At 26 December 2009 and 25 December 2010	2,000	2,000
Net Book Value		
At 26 December 2009 and 25 December 2010	2,000	2,000

Share in group companies

The principal subsidiaries at 25 December 2010 are listed below All subsidiaries are wholly owned and are incorporated in Great Britain, and registered in England and Wales, with the exception of Houdan Menuiseries SA, which is incorporated and registered in France In the opinion of the directors, the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	Principal activity
Howden Joinery Properties Limited	Property management
Houdan Menuiseries SA	Trade kitchen furniture and joinery
Howden Kitchens Properties Limited	Property management

9. STOCKS

	25 Dec 2010	26 Dec 2009
	£000	£000
Raw materials	**3,217**	1,755
Work in progress	**2,948**	2,062
Finished goods for resale	**97,337**	80,081
	103,502	83,898

There is no material difference between the balance sheet value of stocks and their replacement costs

10. DEBTORS

	25 Dec 2010	26 Dec 2009
	£000	£000
Amounts falling due within one year		
Trade debtors	**66,705**	63,822
Other debtors	**234**	24
Amounts owed by fellow subsidiary undertakings	**645,547**	484,398
Prepayments and accrued income	**10,789**	9,176
Deferred taxation (see note 13)	**4,214**	6,140
	727,489	563,560

11. CREDITORS

	25 Dec 2010 £000	26 Dec 2009 £000
Amounts falling due within one year		
Trade creditors	**58,206**	46,519
Corporation tax	**28,294**	21,843
Other taxes and social security	**34,097**	27,813
Current portion of amounts due under finance leases	**397**	487
Accruals and deferred income	**26,077**	26,186
Amounts owed to parent and fellow subsidiary undertakings (see note 19)	**517,021**	432,464
	664,092	555,312

	25 Dec 2010 £000	26 Dec 2009 £000
Amounts falling due after more than one year:		
Non – current portion of amounts due under finance leases (see note 19)	-	396
	-	396

12. PROVISIONS

	Dilapidations £000	Warranties £000	Total £000
At 26 December 2009	338	1,589	1,927
Provision created in the period	93	1,893	1,986
Utilised in year	(32)	(1,823)	(1,855)
Released in year	(306)	(148)	(454)
At 25 December 2010	**93**	**1,511**	**1,604**

Provisions for warranties relate to appliance products sold and cover a period of one year

13. DEFERRED TAXATION

	£000
At 26 December 2009	6,140
Charged during the period	(2,112)
Adjustments in respect of prior periods	186
At 25 December 2010	**4,214**

The deferred taxation asset included in debtors is analysed as follows

	25 Dec 2010 £000	26 Dec 2009 £000
Accelerated capital allowances	**1,659**	3,499
Other timing differences	**2,555**	2,641
	4,214	6,140

14. SHARE CAPITAL

	25 Dec 2010 £000	26 Dec 2009 £000
100,000,000 authorised ordinary shares of £1 00 each	**100,000**	100,000
100,000,000 allotted, called up, issued fully paid ordinary shares of £1 00 each	**100,000**	100,000

15. RECONCILIATION OF MOVEMENT IN SHAREHOLDERS' FUNDS

	Share Capital	Profit and Loss Reserve	Share-based payments reserve	Shareholders' Funds
	£'000	£'000	£'000	£'000
At 26 December 2009	100,000	48,923	3,529	152,452
2010 movement	-	75,786	799	76,689
At 25 December 2010	**100,000**	**124,709**	**4,328**	**229,141**

16. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Howden Joinery Holdings Ltd and the ultimate parent company and controlling entity is Howden Joinery Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Howden Joinery Group Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Howden Joinery Group Plc on the grounds that it is a wholly owned subsidiary

17. PENSIONS

i) Defined contribution pensions

The Howden Joinery Plc Group group operates a defined contribution scheme for its employees The Company's pension charge for the current year for defined contribution pension schemes was £809,000 *(2009 £740,000)* There were no outstanding contributions at the period end

ii) Defined benefit pensions

The Company participates in the Group retirement benefit plan This is a defined benefit multi-employer arrangement, which operates through a funded pension scheme which provides benefits based on the final pensionable pay of participating employees The assets of the scheme are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the scheme and accordingly accounts for the scheme as if it was a defined contribution scheme This is the prescribed treatment in FRS 17 "Retirement Benefits"

Further information about the Group defined-contribution retirement benefit schemes is available in the Howden Joinery Group Plc statutory accounts The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2009 by the scheme actuary This was subsequently rolled forward to 25 December 2010 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 25 December 2010 of £135 7m (2009 £196 3m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19"), under which the Howden Joinery Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS 17 and one under IAS 19 Further details are given in the consolidated financial statements of Howden Joinery Group Plc

17. PENSIONS (continued

The Company's defined benefit pension charge for the year was £9,642,000 (*2009 £8,941,000*) There were no outstanding Company contributions at the period end

The Group adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 "Employee Benefits" The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Howden Joinery Group Plc

There were pension costs of £725,163 unpaid but provided for at 25 December 2010 *(2009 £955,000)*

18 FINANCIAL COMMITMENTS

The annual commitments under non-cancellable operating leases are set out below

Plant and machinery operating leases which expire	**25 Dec 2010**	26 Dec 2009
	£000	£000
Within one year	**71**	996
Between two and five years	**2,308**	5,854
Over five years	**246**	2,009
	2,625	8,859

19. FINANCE LEASES

The finance lease obligations are repayable as follows	**25 Dec 2010**	26 Dec 2009
	£000	£000
Current liabilities		
Within one year	**396**	487
Non-current liabilities		
In the second year	**-**	397
In the third to fifth years inclusive	**-**	-
Total finance lease obligations	**396**	884

All finance lease obligations are in sterling Each lease contract is at a fixed rate The weighted average of the fixed rates on the various contracts is 5% at the current year end *(2009 5%)* The finance lease obligations are unsecured The average remaining lease term is 1 year and 9 months (2009 2 yrs 10m)

Reconciliation of total future minimum lease payments to their present value

	Minimum lease payments		**Present value of minimum lease payments**	
	25 Dec 2010	26 Dec 2009	**25 Dec 2010**	26 Dec 2009
	£000	£000	**£000**	£000
Amounts payable under finance leases				
Within one year	**409**	537	**396**	492
In the second year	**-**	409	**-**	392
In the third to fifth years inclusive	**-**	-	**-**	-
	409	946	**396**	884
Less future finance charges	**(13)**	(62)		
Present value of lease obligations	**396**	884		
Disclosed as				
Current	**396**	487		
Non-current	**-**	397		
	396	884		

20 SHARE BASED PAYMENTS

1) Details of each scheme

The Group recognised a charge of £799k (2009 credit of £295k) in respect of share-based payments during the period The Group has various share-based payment schemes, which are all equity-settled The main details of all schemes which existed during the period are given below

a) Performance Share Plan

This is a discretionary free share plan where participants have a contingent right to receive free shares with performance conditions attached

The performance period is measured from the start of the financial period in which the awards are granted The performance period is three years Vesting occurs at the end of the performance period The different subdivisions and performance conditions are as follows

i) no other condition other than continued employment

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

b) (i) Deferred Bonus Plan - 2008 grant

Participants defer their cash bonus into shares for a period of three years Participants have no entitlement to dividends during the deferral period There are no performance conditions attached The shares vest at the end of the three year holding period

b) (ii) Deferred Bonus Plan - 2010 restricted share award

During the year the Deferred Bonus plan 2008 grant was lapsed and in accordance with the rules of the Co Investment Plan an equivalent award of restricted shares was made The shares are held in trust and participants are entitled to dividends during the deferral period A participant can remove the shares from the Trust at any time but as they would no longer be pledged as Invested Shares under the Co Investment Plan then unless replaces, the participant would forego the resulting match

c) Co-Investment Plan

This is a co-investment plan where each participant is permitted to invest a limited amount of shares on an annual basis for the purposes of the Plan

(i) (A) 2007 award PBT targets At the end of a three year performance period, each invested share will be matched by an award of up to three matching shares if 2010 PBT of £135m is achieved, 25 percent of the maximum match (i e 0 75 1) will be earned for achieving 2010 PBT of £110 million and the awards will vest on a sliding scale between these two points

(ii) (A) 2007 award TSR target A further match of up to two shares will be made for achieving upper quartile Total Shareholder Return (TSR), measured against the FTSE 250 Index (excluding investment trusts)

20. SHARE BASED PAYMENTS (continued)

d) Foundation Plan
This plan awards nil-cost options, and also options with an exercise price equal to the market price at the date of grant

i)2006 Awards
Vesting of awards granted in the form of options with an exercise price equal to the market price at the date of grant vest depended on the achievement of a share price hurdle over thirty consecutive dealing days The exercise price of the options granted in 2006 was 92p 35% of this award vests if the share price achieves 115 pence over thirty consecutive dealing days, and 100% of the award vests if the share price achieves 160 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points Vested awards can be exercised for a period of 12 months from 31 December 2008

ii)2007 Awards
These awards were granted in the form of nil cost options and vested on the last day of the 2006/7 financial year to the degree that the performance conditions had been met There is a further deferral period of two years before the vested awards are made available to the participants

Vesting was dependent upon the achievement of a share price hurdle over thirty consecutive dealing days and an underlying profit target of £65m for the year being met 20% of the award vests if the share price achieves 150 pence over thirty consecutive dealing days and 100% of the award vests if the share price achieves 185 pence over thirty consecutive dealing days The award vests on a straight line basis between these two points

e) Executive Share Options
This is a discretionary share option plan These options are granted with an exercise price equal to market value

The vesting period is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) In the information below, these options have been further subdivided according to their different performance conditions, in order to give more meaningful information The different subdivisions and performance conditions are as follows

i) 40% vesting if EPS growth equals RPI+40%, rising to 100% vesting for EPS growth of RPI+100%

ii) 50% vesting if there is EPS growth of 60% over the performance period, and 100% vesting if there is EPS growth of 120% over the performance period

iii) EPS growth must equal RPI + 9% If this is achieved there will be full vesting If this is not achieved there will be no vesting

iv) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p Underpinning this is a requirement to achieve 20% annual compound growth over the performance period

f) LongTerm Incentive Plan - Options
This is a discretionary plan under which the Company may grant different types of share award including market value and nil cost options, conditional awards of shares and restricted shares (where the employee is the owner of the shares from the date of award but subject to forfeiture) Unless otherwise specified all awards have substantially the same terms

20. SHARE BASED PAYMENTS (continued)

(i) Market value options, the vesting period for which is three years from the date of grant with an exercise period of seven years (i e a total life of ten years) Options will vest if cumulative PBT of £90m is achieved over the three financial years ending 2009, 2010 and 2011

(ii) Market value which vest after a three year period from the date of grant 15% of the options will vest if the group achieves growth in pre-exceptional PBT equivalent to RPI over the performance period, 100% will vest if pre-exceptional PBT growth is equivalent to RPI + 8% is achieved

(iii) Conditional Share Award - shares will vest at the end of a three year period commencing on the date of grant subject to continuing employment

g) Share Incentive Scheme (Freeshares)
This is an 'all-employee' share incentive plan whereby participants receive a grant of free shares in the Company If the employees are still employed by the Group three years after the grant, then the shares vest Dividends are paid out on the shares between award date and vesting date There are no other performance conditions attached to these awards

2) Movements in the period
The following tables show the number and weighted average exercise prices ("WAEP") of each category of share options during the period, and the movements in each category The significance of options granted before 7 November 2002 is that they have been excluded from the IFRS2 share-based payment charge on the basis of their date of grant, as allowed on adoption of IFRS

a) Performance Share Plan

a) Performance Share Plan	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
i) no other condition other than continued employment	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	240,000	0 00	261,000	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	(9,500)	0 00	(19,000)	0 00
Exercised in period	(230,500)	0 00	(2,000)	0 00
In issue at end of period	0	N/A	240,000	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0 71	0 42	0 44
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		N/A	
Weighted average fair value of options granted during the period (£)	N/A			
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 00	
- to	N/A		0 00	

20. SHARE-BASED PAYMENTS (continued)

a) Performance Share Plan

ii) 50% of the Options shall be exercisable if the compound annual growth in the Group's Operating Profit over the performance period is at least 10% rising to 100% if compound annual growth over the same period is at least 20%.

	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	737,702	0 00	776,693	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	(737,702)	0 00	(38,991)	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	0	N/A	737,702	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 00	
- to	N/A		0 00	

a) Performance Share Plan

iii) 25% of the award will vest if 2010 PBT of £110 million is achieved 100% will vest if 2010 PBT of £135 million is achieved The awards will vest on a sliding scale between these two points

	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	785,368	0 00	803,101	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	(66,003)	0 00	(17,733)	N/A
Exercised in period	(63,043)	0 00	0	N/A
In issue at end of period	656,322	0 00	785,368	N/A
Exercisable at end of period	0	0 00	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0 63		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 25		1 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

20. SHARE-BASED PAYMENTS (continued)

b) Deferred Bonus Plan	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
ii) 2008 grant	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	424,779	0 00	424,779	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	(424,779)	0 00	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	0	N/A	424,779	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		1 25	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 00	
- to	N/A		0 00	

b) Deferred Bonus Plan - Restricted Share Award	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
iii) 2010 grant	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	424,779	0 00	0	0 00
Lapsed in period	0	N/A	0	N/A
Exercised in period	(174,510)	0 00	0	0 00
In issue at end of period	250,269	0 00	0	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.80		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 25		0	
Weighted average fair value of options granted during the period (£)	0 79		0 00	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

20. SHARE-BASED PAYMENTS (continued)

c) (i) (a) Executive Co-investment Plan 2007 award, PBT target	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	1,860,000	0 00	1,860,000	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	1,860,000	0 00	1,860,000	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 25		1 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

c) (ii) (A) Executive Co-investment Plan 2007 award, TSR target	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at start of period	1,240,000	0.00	1,240,000	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	1,240,000	0.00	1,240,000	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 25		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

20. SHARE-BASED PAYMENTS (continued)

d) Foundation Plan

i) 2006 award - Market-value Options	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	1,552,243	0.92	1,910,453	0 92
Granted in period	0	N/A	0	N/A
Lapsed in period	(1,552,243)	0 92	(358,210)	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	0	N/A	1,552,243	0 92
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A			
- to	N/A			

d) Foundation Plan

ii) 2007 award - Nil Cost Options	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	597,142	0 00	1,520,000	0 00
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	(922,858)	0 00
Exercised in period	(597,142)	0 00	0	N/A
In issue at end of period	0	N/A	597,142	0 00
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0 75		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	N/A		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	N/A		0 00	
- to	N/A		0 00	

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

i) 40% vesting if EPS growth = RPI+40% rising to 100% vesting if EPS growth = RPI+100%	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	217,081	1 07	217,081	1 07
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	217,081	1 07	217,081	1.07
Exercisable at end of period	67,943	1 07	217,081	1 07
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 07			
- to	1 07			

e) Executive Share Options

ii) 50% vesting if EPS growth is 60% and 100% vesting if EPS is 120%	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	262,358	1.32	262,358	1 27
Granted in period	0	N/A	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	262,358	1.32	262,358	1 27
Exercisable at end of period	262,358	1.32	262,358	1 27
Number of options in the closing balance that were granted before 7 November 2002	262,358	1.32	262,358	1 27
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.32			
- to	1.32			

20. SHARE-BASED PAYMENTS (continued)

e) Executive Share Options

iii) Full vesting if EPS increases by RPI + 9%	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	1,646,128	1.00	1,958,510	1 02
Granted in period	(4,641)	1 00	0	N/A
Lapsed in period	(42,753)	1 00	(312,381)	0 96
Exercised in period	0	N/A	0	N/A
In issue at end of period	1,598,734	1.03	1,646,129	1 01
Exercisable at end of period	1,261,193	1.03	1,646,129	1 01
Number of options in the closing balance that were granted before 7 November 2002	773,604		1,646,129	
Weighted average share price for options exercised during the period		N/A		0 63
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1 00		1 00	
- to	1.39		1.39	

e) Executive Share Options
iv) 20% of the options will vest if the share price over 30 consecutive dealing days is 185p rising on a straight line basis to 100% vesting if the share price over 30 consecutive days reaches 265p Underpinning this is a requirement to achieve 20% annual compound growth over the performance period

	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	1,973,502	1.59	1,973,502	1.59
Granted in period	0	N/A	0	N/A
Lapsed in period	(1,960,762)	1.59	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	12,740	1.59	1,973,502	1.59
Exercisable at end of period	0	N/A	0	N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 42	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	1.59		1.59	
- to	1.59		1.59	

20. SHARE-BASED PAYMENTS (continued)

f) Long Term Incentive Plan - Options

i) cumulative PBT of £90m over three financial years ending 2009, 2010 and 2011	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	8,595,382	0.37	0	N/A
Granted in period	50,000	0.37	8,595,382	0.37
Lapsed in period	(71,528)	0.37	0	0 00
Exercised in period	(23,472)	0.37	0	0 00
In issue at end of period	8,550,382	0.37	8,595,382	0.37
Exercisable at end of period	0	N/A		N/A
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0.87		N/A
Weighted average contractual life remaining for share options outstanding at the period end (years)	1.33		2.33	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 25		0 25	
- to	0.50		0.50	

ii) 2012 PBT increase by between RPI and RPI + 8%	52 weeks to 25 December 2010	52 weeks to 25 December 2010	52 weeks to 26 December 2009	52 weeks to 26 December 2009
	Number	WAEP (£)	Number	WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	2,608,421	0.81	0	N/A
Lapsed in period	0	N/A	0	N/A
Exercised in period	0	N/A	0	N/A
In issue at end of period	2,608,421	0.81	0	N/A
Exercisable at end of period	0	N/A	0	0 00
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		N/A		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.33		0 00	
Weighted average fair value of options granted during the period (£)	0 44		0 00	
Range of exercise prices for options outstanding at the period end (£)				
- from	0.81		0 00	
- to	0.81		0 00	

20. SHARE-BASED PAYMENTS (continued)

iii) Conditional Share Award - subject to continuing employment	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	0	N/A	0	N/A
Granted in period	542,400	0 00	0	0 00
Lapsed in period	(27,500)	0 00	0	0.00
Exercised in period	(2,500)	0 00	0	0.00
In issue at end of period	512,400	0 00	0	0 00
Exercisable at end of period	0	N/A	0	0 00
Number of options in the closing balance that were granted before 7 November 2002	0		0	
Weighted average share price for options exercised during the period		0 79		0 00
Weighted average contractual life remaining for share options outstanding at the period end (years)	2.33		0 00	
Weighted average fair value of options granted during the period (£)	0.81		0 00	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0 00	
- to	0 00		0 00	

g) Share incentive scheme (Freeshares)	52 weeks to 25 December 2010 Number	52 weeks to 25 December 2010 WAEP (£)	52 weeks to 26 December 2009 Number	52 weeks to 26 December 2009 WAEP (£)
In issue at beginning of period	379,076	0 00	408,783	0 00
Granted in period			0	N/A
Lapsed in period			(14,156)	0 00
Exercised in period	(145,462)		(15,551)	0 00
In issue at end of period	233,614	0 00	379,076	0 00
Exercisable at end of period	233,614	0 00	379,076	0 00
Number of options in the closing balance that were granted before 7 November 2002	158,517		379,076	
Weighted average share price for options exercised during the period		0 78		0 45
Weighted average contractual life remaining for share options outstanding at the period end (years)	0 00		0 00	
Weighted average fair value of options granted during the period (£)	N/A		N/A	
Range of exercise prices for options outstanding at the period end (£)				
- from	0 00		0.00	
- to	0 00		0 00	

20. SHARE-BASED PAYMENTS (continued)

4) Fair value of options granted

The fair value of all options granted except Sharesave is estimated on the date of grant using a binomial option valuation model Sharesave schemes are valued using a Black Scholes model as they are not considered to be of such complexity that they require a binomial model

The key assumptions used in the models were

	52 weeks to 25 December 2010	52 weeks to 26 December 2009
Dividend yield (%)	**0**	0 71
Expected share price volatility (%)	**50 - 52**	46
Historical volatility (%)	**50 - 52**	46
Risk-free interest rate (%)	**2.79 - 3.18**	4 47
Expected life of options (years)	**6.4 – 6.5**	2 57

Historical volatility is measured for each scheme over the period equal to the vesting period of the scheme The figure arrived at is then used as the best estimate of expected future volatility